SACRA

EQUITY RESEARCH

Cursor

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TEAM

Jan-Erik Asplund
Co-Founder
jan@sacra.com

Marcelo Ballve
Head of Research
marcelo@sacra.com

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Cursor

Visit Website

AI-native IDE for developers to write, edit, and debug code with LLMs

#ai #code-editors

REVENUE

$2,000,000,000

2026

FUNDING

$3,380,000,000

2025

Details

HEADQUARTERS

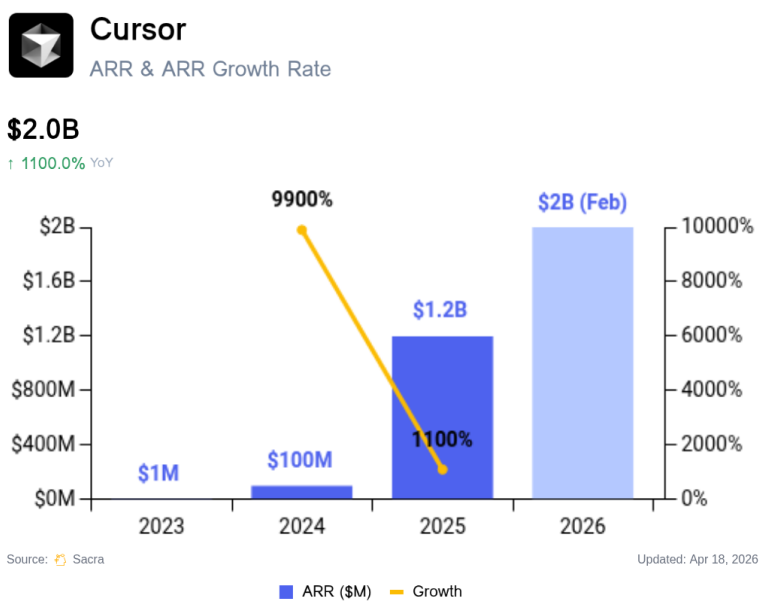
San Francisco, CA

CEO

Michael Truell

SACRA

Revenue



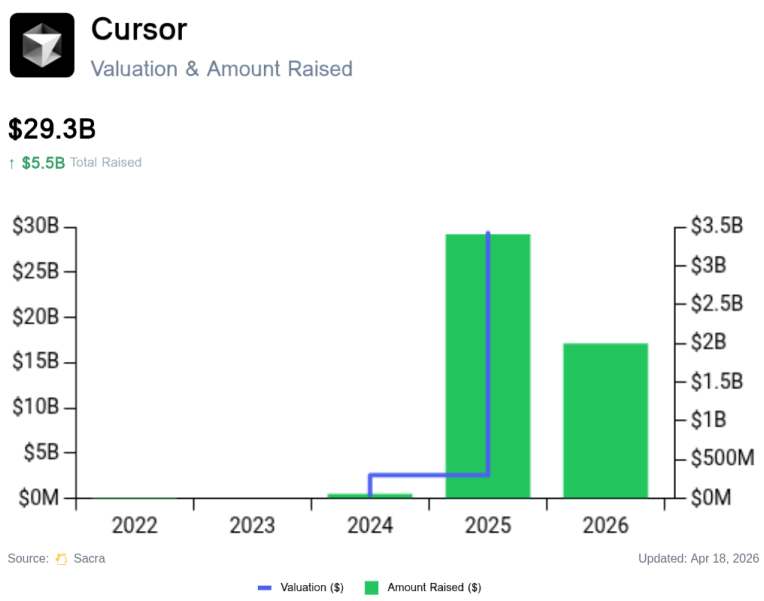
Sacra estimates that Cursor hit $2B in annualized revenue in February 2026, up from $1B in November 2025 and $500M ARR in June 2025.

Cursor is the fastest-growing SaaS company of all time from $1M to $500M in ARR, with revenue doubling approximately every two months. This growth rate surpasses previous SaaS records set by companies like Wiz, Deel, and Ramp.

Large corporate buyers now account for approximately 60% of revenue, reflecting a significant shift from the company's earlier reliance on individual developer subscriptions. Cursor is used by over 50,000 engineering teams globally, and nearly 70% of the Fortune 1000 is represented in its customer base, including NVIDIA, Uber, Adobe, Salesforce, and PwC.

The company generates revenue through a tiered subscription model: a free tier with limited AI features, a Pro plan at $20/month, a Business plan at $40/user/month, an Ultra plan at $200/month offering 20x more usage than Pro, and enterprise licensing for larger team deployments at higher contract values.

Valuation & Funding



In April 2026, Cursor raised $2 billion at a $50 billion valuation. Details on round leadership and participants have not been disclosed.

In November 2025, Cursor raised $2.3 billion in a Series D that valued it at $29.3 billion, with participation from Thrive Capital, Andreessen Horowitz, Accel, DST Global, Coatue, NVIDIA, and Google. The company previously reached a $9.9 billion valuation in June 2025 after raising a $900M Series C, having closed a $105 million Series B at a $2.5 billion valuation in December 2024 and a $60 million Series A at a $400 million valuation in August 2024.

Notable angels include Stripe co-founder Patrick Collison, former GitHub CEO Nat Friedman, and Dropbox co-founder Arash Ferdowsi.

Product

Cursor was founded in 2022 by Michael Truell, Sualeh Asif, Arvid Lunnemark, and Aman Sanger while they were students at MIT. The editor builds on VS Code and extends it with AI capabilities.

As developers type in Cursor, pressing Tab autocompletes the current line of code. Subsequent Tab presses predict and implement the next logical edits, whether that's modifying code further down in the current file or jumping to a different file to make related changes.

Developers can also interact with their codebase through a chat interface. They can @-mention specific files to provide context, ask questions about implementation details, or request changes. The AI suggests edits that appear in a diff view for review and quick application.

For frequent, latency-sensitive operations like code completion and editing, Cursor has developed fine-tuned, specialized Mixture-of-Experts (MoE) models that process large amounts of context while generating relatively small outputs. These are backed by multi-year model partnerships with OpenAI, Anthropic, Google, and xAI. Cursor also ships its own frontier coding models: Composer (introduced October 2025) is described as 4x faster than similarly intelligent models and built for low-latency, multi-step agentic coding, while Composer 2 (launched March 2026) adds a faster default variant alongside API-accessible token pricing.

The product has evolved steadily toward autonomous, multi-agent workflows. Cursor 2.0 (October 2025) enabled users to run up to eight agents in parallel via git worktrees or remote machines and made Browser for Agent generally available for native browser-based testing and verification. Cursor 3.0 (April 2026) goes further, replacing the classic IDE layout with an agent-first interface built around parallel AI fleets — developers now manage and coordinate multiple agents simultaneously rather than interacting with a single assistant, shifting the editor's metaphor from a coding tool to an orchestration surface for autonomous coding workstreams. Cursor 3.0 also adds multi-repo support and local/cloud agent handoff.

Cloud agents have become a core part of the product: Cursor reports that more than 30% of the pull requests it merges internally are now created by agents operating autonomously in cloud sandboxes, available across web, mobile, desktop, Slack, and GitHub.

Cursor has also extended its footprint well beyond the IDE itself. Automations allows always-on agents to run on schedules or in response to triggers from Slack, Linear, GitHub, PagerDuty, and webhooks, enabling event-driven coding pipelines without manual initiation. Through the Agent Client Protocol (ACP), Cursor's agents are available inside IntelliJ IDEA, PyCharm, WebStorm, and other JetBrains IDEs, transforming Cursor from a VS Code fork into a cross-IDE agent layer. Cursor is also moving into the pull request and code review workflow through its pending acquisition of Graphite (definitive agreement signed December 2025), a code-review platform used by hundreds of thousands of engineers. Together, Automations, ACP, and Graphite extend Cursor's reach across the full software development lifecycle — from writing and testing to reviewing and merging.

Business Model

Cursor monetizes through a tiered subscription model targeting individual developers and enterprise teams.

The product follows a freemium model with four tiers. The free tier offers limited access to AI features including 2,000 monthly code completions. The Pro tier ($20/month) provides unlimited code completions and premium AI model access. The Business tier ($40/user/month) adds enterprise features like centralized billing, admin dashboards, and enhanced privacy controls. The Ultra tier ($200/month, introduced June 2025) offers 20x more usage than Pro and is aimed at power users and heavy agent workloads.

Cursor's in-house Composer 2 model is also available at API-accessible token pricing ($0.50/M input tokens, $2.50/M output tokens), enabling usage-based billing that scales with agentic workloads. Billing for Teams and Auto plans uses variable, usage-based request costs rather than fixed request pricing, aligning pricing with agent task complexity as workloads shift from quick queries to multi-file, end-to-end implementations.

Enterprise customers gain access to additional controls including Hooks, Team Rules, upgraded analytics, Audit Log, and Sandbox Mode. Cursor reports tens of thousands of enterprise customers, with enterprise and corporate buyers representing the majority of revenue.

Cursor's competitive advantage stems from its deep integration with leading AI models from OpenAI, Anthropic, Google, and xAI under multi-year partnerships, while maintaining compatibility with the VS Code ecosystem and, via ACP, JetBrains IDEs.

The company employs a product-led growth strategy, allowing developers to start with the free tier and naturally upgrade as their usage increases. Enterprise expansion occurs organically as individual developers advocate for team-wide adoption, driving the shift to business accounts with centralized management and security features. In February 2026, Cursor hired former Rubrik President/CRO Brian McCarthy as President of Global Revenue and Field Operations, signaling a deliberate build-out of a dedicated enterprise sales motion to complement the PLG flywheel.

Competition

Three fundamental shifts are transforming the AI-assisted development landscape and creating both opportunities and challenges for Cursor's market position.

GitHub + Microsoft bundlenomics

Large incumbents like GitHub/Microsoft are leveraging their massive install bases and cloud infrastructure to embed AI assistance deeply into existing workflows. GitHub Copilot's estimated $300M+ annual revenue demonstrates the power of this integrated approach.

More importantly, GitHub's enterprise relationships and existing security compliance give them an enormous advantage — many companies simply block new development tools like Cursor for security reasons, defaulting to GitHub's vetted solutions. Cursor's enterprise-grade Hooks, Audit Log, and Sandbox Mode directly target this barrier, and the company now counts over half the Fortune 500 as customers.

GitHub's bundle of services (version control, CI/CD, issue tracking, Copilot) creates a compelling integrated value proposition. Cursor's acquisition of Graphite, a code-review platform used by hundreds of thousands of engineers (definitive agreement signed December 2025), is a direct move to compete on this front by bringing pull request and review workflows in-house.

Shift from tools to agents

The market is evolving beyond simple code completion toward autonomous development agents, but with a crucial distinction in approaches.

Cursor's Automations system and Composer model reflect an IDE-first vision of agentic workflows, where developers maintain control while AI handles complex multi-file edits, background pipelines, and parallel workstreams. This stands in contrast to platforms like v0 from Vercel or Bolt.new, which target non-developers by converting natural language directly into applications. Cursor focuses on accelerating professional developers rather than replacing them.

Cursor's expansion into JetBrains IDEs via the Agent Client Protocol (ACP) extends its agent capabilities to a large installed base of enterprise Java and Python developers who have historically been outside VS Code's ecosystem.

Platform risk from OpenAI & Google

The most significant competitive threat may come from the model providers themselves. OpenAI's ChatGPT macOS app already includes Terminal and Xcode integration, showing clear intent to move into the development space.

Google's deal to license Windsurf's code-agent IP and bring its CEO and R&D leads into DeepMind gives it a turnkey IDE stack to bolt onto Gemini Code Assist and Android Studio, collapsing the gap between model provider and developer workflow tool. With first-party control over Gemini's weights, Google can ship auto-completion, debugging, and autonomous agents as default features in Chrome-hosted DevTools and Cloud consoles, undercutting Cursor's paid extension value proposition.

TAM Expansion

Cursor is evolving from an AI-powered code editor into a comprehensive development environment that aims to transform how software is built.

Developer productivity platform

The immediate TAM for AI coding assistance is substantial. As software continues to eat the world, the global shortage of developers has created a productivity crisis that companies are willing to spend significantly to solve. GitHub Copilot alone is generating over $300M in annual revenue.

Cursor's penetration of over half the Fortune 500 — including NVIDIA, Uber, Adobe, Salesforce, and PwC — demonstrates that large enterprises are now active buyers, not just early adopters. By improving developer productivity even 20-30%, Cursor captures significant value given average developer salaries of $150K+. Beyond core development, Cursor has potential to expand into adjacent areas like technical documentation while serving additional personas like data scientists and DevOps engineers.

IDE and workflow expansion

Cursor's expansion into JetBrains IDEs via the Agent Client Protocol (ACP) opens a large installed base of enterprise developers — particularly Java and Python engineers — who work primarily in IntelliJ IDEA, PyCharm, and WebStorm. This transforms Cursor from a VS Code fork into a cross-IDE agent layer, materially expanding its addressable market beyond the VS Code ecosystem.

The acquisition of Graphite (definitive agreement signed December 2025) further extends Cursor into the code review and pull request workflow, a segment used by hundreds of thousands of engineers that sits adjacent to but distinct from the IDE. Owning the code review surface creates a path to monetize engineering workflows end-to-end, from writing to merging.

M&A value

Cursor could represent significant strategic value for several types of potential acquirers.

Cloud providers might acquire Cursor to improve their developer experience, while development platform companies like Atlassian or GitLab might see it as a way to compete with GitHub's Copilot advantage. AI companies might view Cursor as a way to own a key application layer while gaining valuable training data and direct access to developers — an increasingly influential user base.

Risks

Model provider competition: Cursor's core product depends on AI models from OpenAI, Anthropic, Google, and xAI, all of whom are simultaneously building or acquiring competing developer tools. Any degradation in model access, price increase, or preferential treatment of their own IDE products could erode Cursor's core value proposition.

Enterprise security and compliance: Large enterprises frequently block new development tools for security reasons, defaulting to vetted vendors like GitHub. While Cursor has added enterprise controls including Audit Log, Hooks, and Sandbox Mode, it must continue closing the compliance gap with GitHub to protect its growing enterprise revenue base, which now accounts for roughly 60% of total revenue.

IDE ecosystem lock-in: Cursor's architecture as a VS Code fork creates dependency on Microsoft's roadmap and plugin ecosystem. Expansion via ACP into JetBrains reduces this risk but also requires ongoing protocol maintenance across multiple IDE surfaces, adding engineering complexity and potential fragmentation.

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